

CAGE-FREE POULTRY: GOVERNMENT SCHEMES & SUBSIDIES IN INDIA

2025



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EXECUTIVE SUMMARY

India offers a diverse suite of financial incentives for egg production, ranging from large-scale central programs—such as the Animal Husbandry Infrastructure Development Fund (AHIDF), National Livestock Mission (NLM) and Poultry Venture Capital Fund (PVCF)—to a mosaic of state schemes in Tamil Nadu, Andhra Pradesh, Telangana, West Bengal and Karnataka. Collectively these mechanisms channel credit, capital grants, interest subventions and technical assistance toward modernizing poultry infrastructure and bolstering rural livelihoods. Yet the analysis reveals a consistent blind spot: most incentives omit explicit requirements for animal-welfare safeguards or environmental performance. Closing this gap will require embedding cage-free housing, support for indigenous breeds and pollution-controlled waste-management systems as qualifying criteria across existing and future schemes.

INTRODUCTION

Egg production is one of India's fastest-growing livestock subsectors, supplying an affordable protein source while generating income for millions of smallholders and commercial producers. Public finance—in the form of subsidies, concessional loans and credit guarantees—plays a decisive role in shaping the sector's trajectory. Understanding the breadth, design and impact of these incentives is therefore vital for policymakers, lenders, civil-society advocates and investors who aim to steer the industry toward humane, climate-resilient growth.



OBJECTIVE

The objective of this report is to map and classify all active government-backed financial instruments that directly or indirectly support commercial layer hens in India. This includes central and state government schemes, banking mechanisms, and multilateral funding initiatives. It aims to assess how well these instruments align with international standards for animal welfare—such as the Five Freedoms and OIE guidelines—as well as environmental sustainability benchmarks related to emissions, water usage, and waste management. The report also seeks to identify structural gaps within the existing incentive ecosystem, whether geographic, financial, or thematic, where support fails to reach priority groups such as smallholders, women-led enterprises, or producers adopting cage-free systems. Additionally, it explores the potential to leverage existing schemes more effectively by estimating how modest policy adjustments—such as adding incentives for cage-free housing or eco-friendly waste treatment—could significantly shift public funding toward more humane and sustainable poultry production. Ultimately, the report seeks to offer practical, evidence-based recommendations for policymakers, banks, and international donors to integrate welfare and environmental criteria into future scheme guidelines, monitoring systems, and disbursement frameworks.

METHODOLOGY

This report employed a comprehensive mixed-methods approach that began with an extensive desk review of national and state-level policy documents, financial schemes, and multilateral databases. Key variables such as eligibility, financial terms, and welfare/environmental criteria were systematically extracted. A custom evaluation framework was then developed by adapting international benchmarks to score schemes across four pillars: housing and welfare, environmental performance, market access and equity, and monitoring and transparency. Semi-structured interviews with a range of stakeholders—including government officials, producers, and civil society experts—provided validation and ground-level insights. Findings were triangulated with secondary literature, and a gap and leverage analysis identified opportunities to better target humane and sustainable poultry systems through strategic budget reallocations.

KEY SOURCES

- Scheme guidelines, budget documents, and annual reports from the MoFAHD, Finance, and Rural Development ministries
- Official portals of state animal husbandry departments
- Documents from NABARD, SIDBI, and public-sector banks
- Project databases from FAO, ADB, and IFC
- Global benchmarks like SAFA and BBFAW.

OVERVIEW OF REGULATORY FRAMEWORK

The regulatory environment for poultry operations in India is governed by a combination of central laws, state-specific regulations, and policy guidelines aimed at ensuring humane treatment of animals, environmental sustainability, food safety, and public health. This section provides an overview of the key legal frameworks and standards that shape the operations of poultry units, addressing issues such as animal welfare, pollution control, food safety, and sustainable practices.



CENTRAL REGULATORY FRAMEWORK

The Central Regulatory Framework outlines key legal provisions governing poultry units, focusing on animal welfare, environmental protection, and food safety.

Table 1. Central Regulatory Framework

Legal Framework	Relevant Sections
Prevention of Cruelty to Animals (PCA) Act, 1960	Section 11: Prohibition of Cruel Practices Section 11 (1) (a): Prohibits beating, kicking, overriding, overdriving, overloading, torturing, or otherwise treating animals in a way that subjects them to unnecessary pain or suffering. Section 11 (1) (e): Prohibits keeping animals in cages or receptacles without sufficient height, length, or breadth to allow reasonable movement.
PCA (Egg Laying Hens) Rules, 2023	Rule 8: Space Allowance for Laying Hens New Farms and Replacement of Old Cages: All new facilities or replaced cages must meet the following specifications: - Floor space per bird must be at least 550 sq. cm. - Enclosures should ideally accommodate 6–8 birds, ensuring space for lying down, standing, flapping wings, turning around, and access to feed and water.
Environment Protection (EPA) Act, 1986	Section 7: Prohibition of Excessive Pollution No person shall emit or discharge pollutants exceeding prescribed standards. Section 8: Handling Hazardous Substances No person shall handle hazardous substances without following prescribed procedures and safeguards.
Food Safety and Standards Act, 2006	Section 19: Use of Food Additives and Processing Aids No article of food shall contain additives or processing aids unless in accordance with regulations. Section 20: Contaminants and Heavy Metals No food shall contain contaminants, toxins, or heavy metals exceeding specified limits. Section 21: Pesticides and Drug Residues No food shall exceed tolerance limits for pesticides, veterinary drugs, or antibiotics. Section 22: Genetically Modified and Organic Foods No person shall manufacture, distribute, or sell genetically modified or organic food without compliance.

STATE SPECIFIC LEGAL AND REGULATORY FRAMEWORK

Table 2. State Specific Regulatory Framework

Legal Framework	Relevant Sections
Andhra Pradesh	Andhra Pradesh (Agricultural Produce and Livestock Markets) Act, 1969
Telangana	Telangana (Agricultural Produce and Livestock Markets) (Amendments) Act, 2016
Tamil Nadu	Tamil Nadu Public Health Act, 1939
West Bengal	Animal Slaughter Control Act, 1950
Karnataka	Karnataka Livestock Development Policy, 2010

ENVIRONMENT AND PUBLIC HEALTH

1. Key Environmental Acts

Under the provisions of the *Water (Prevention & Control of Pollution) Act, 1974*, and the *Air (Prevention & Control of Pollution) Act, 1981*, all poultry units will have to obtain the following permissions from the State Pollution Control Board/Pollution Control Committees

- **Consent to Establish (“CTE”)**: This consent is required to be obtained before establishing a poultry unit. The Consent to Establish is the primary clearance.
- **Consent to Operate (“CTO”)**: Once the unit is established according to mandatory pollution control systems, the units are required to obtain consent to operate.

2. Central Pollution Control Board’s Guidelines

The *Guidelines for Environmental Guidelines for Poultry Farms, August 2021* issued by the Central Pollution Control Board specifically address the pollution arising from poultry units.

- **Solid Waste and Waste Water Management** - Solid waste in poultry farms should be properly managed, with key sources including poultry droppings and hatchery waste. In cage systems, excreta should be collected beneath the cages on impermeable surfaces and kept dry through adequate ventilation to allow aerobic composting; manure must be removed every four to six months and sold. In deep litter systems, bedding made of agro-residues must be regularly turned and removed at the end of each production cycle, along with the manure, and the shed should be disinfected with lime and left for quarantine. Dead birds must be promptly disposed of - either through high-temperature incineration or burial in designated pits - to prevent odour, disease, and pest issues.

Hatchery waste, including eggshells, unhatched eggs, and dead embryos, should be disposed of through open burning or sent to rendering plants. Wastewater generated during cleaning must be collected in holding tanks and reused. Poultry farms must also be equipped with measures to control flies, rodents, and other pests.

- **Air Quality Management** - To address environmental concerns in poultry farms, measures must be taken to control gaseous emissions such as ammonia and hydrogen sulfide, as well as dust from feed mills. Proper ventilation and airflow over manure collection areas should be ensured to keep manure dry, and it must be protected from runoff and pests with well-designed storage facilities. Dead birds must be promptly collected and disposed of in an environmentally safe manner. Feed mills and storage areas should be located on elevated ground and equipped with dust collector systems in mixing and grinding sections. Workers must be provided with dust masks, and vehicle tyre dip facilities should be installed at the farm entrance to reduce contamination.

- **Siting Criteria & Consent from SPCB - Parameters-**

- CTE and CTO Certificates
- 500 meters away from residential zone.
- 100 m from major water course like River, Lakes, canals and drinking water source like wells, summer storage tanks.
- 100 m from national Highway (NH) and 50 m from State Highway (SH).
- 10-15 m from rural roads/internal roads/village pagdandis.
- Poultry sheds should not be located within 10 m from farm boundary for cross ventilation and odour dispersion.

POLICY AND GUIDELINES

There are national policies and guidelines for poultry operations that provide a framework for sustainable, ethical, and scientifically informed practices. These include national plans promoting cage-free systems, advisory standards for humane treatment and housing, and veterinary treatment protocols to enhance poultry health and biosecurity. Together, they support the transition to improved welfare and operational efficiency in the sector.

- **National Action Plan for Egg and Poultry-2022:** This plan promotes sustainable and ethical poultry farming, including a shift to cage-free systems.
- **Guidelines for Poultry Farming (2021):** Central (NCDC) and state guidelines emphasize humane treatment, space, and ventilation, with more states encouraged to prioritize sustainability and animal welfare frameworks.
- **Standard Veterinary Treatment Guidelines for Livestock and Poultry:** These guidelines from the Department of Animal Husbandry and Dairying provide protocols for poultry disease management, including vaccination, drug use, biosecurity, and validated ethnoveterinary practices.



WHY LAYING HENS

This report primarily focuses on **laying hens** due to their economic importance in India's egg production and their prevalence in intensive confinement, making them a critical area for **animal welfare reform** and **sustainable production**. **Cage-free systems** are highlighted as a humane and eco-friendly alternative, allowing hens natural behaviors, improving bird health and productivity, and supporting skilled husbandry, quality feed access, and effective healthcare. Environmentally, cage-free operations reduce resource usage and promote sustainable waste management, aligning with both ethical and environmental goals.

Based on a statistical analysis of state-wise egg production, per capita egg availability, and commercial layer distribution, five key states were selected for this report. These states, which include Andhra Pradesh (17.85%), Tamil Nadu (15.64%), Telangana (12.87%), West Bengal (11.37%), and Karnataka (6.62%), collectively contribute 64.37% of India's total egg production. Their substantial contributions highlight their importance in the poultry sector and are crucial for understanding regional dynamics and identifying areas for development and support.

Given their large populations, these states not only have a greater number of consumers but also diverse demographics that influence food preferences and purchasing power. As such, the demand for eggs is likely to be substantial, making these regions key markets for egg producers and retailers.

Table 3. State-wise Estimated Number of Layers from Commercial Poultry Farms in 2023-24

States	Desi fowls	Improved fowls
Andhra Pradesh	238.363	8.514.745
Telangana	1.252.676	5.377.697
Karnataka	399.691	2.771.406
Tamil Nadu	54.656	7.787.798
West Bengal	77.711	1.894.912



KEY ANIMAL WELFARE AND ENVIRONMENTAL ASPECTS

This section emphasizes the ethical and ecological imperatives of moving away from conventional caged systems, highlighting the advantages of cage-free egg production.



Infrastructure and Housing: Caged systems severely restrict hens' movement, causing distress. Cage-free systems, with open floor plans or aviaries, provide essential space, ventilation, natural light, and features like nesting boxes and perches, aligning with the "Five Freedoms" of animal welfare.

Equipment: Unlike caged systems, cage-free equipment (nest boxes, perches, accessible feeding/watering) supports hen well-being, promotes natural behaviors, and reduces aggression. These systems also have lower upfront and maintenance costs, benefiting smaller businesses.

Husbandry Services: Cage-free systems require skilled husbandry for monitoring health, managing stress, and humane handling, leading to healthier, more productive flocks and elevated animal welfare.

Feed Provision: Cage-free systems allow natural foraging and ensure equitable access to high-quality feed through strategic placement, resulting in healthier hens and superior egg quality.

Healthcare: Cage-free environments reduce stress and disease susceptibility, making preventive healthcare, vaccinations, and biosecurity protocols more effective.

Energy Usage: Cage-free systems leverage natural lighting and ventilation to reduce energy consumption. Studies show they are more energy-efficient, especially with technologies like LED lighting and renewable sources, proving humane practices can be sustainable and cost-effective.

Water Usage: Cage-free systems utilize efficient watering solutions like nipple drinkers to minimize waste and ensure clean access. Proper wastewater treatment further protects ecosystems.

Waste Management: Cage-free systems distribute waste more evenly, reducing odor and air pollution. Sustainable practices like composting and anaerobic digestion mitigate environmental impacts and create valuable resources.

From Confinement to Humane Systems: Caged systems are inherently harmful, causing suffering and environmental degradation. Cage-free systems offer a humane and sustainable alternative, supporting healthier flocks, cleaner ecosystems, and meeting consumer demand for ethical egg production.

FINANCIAL ASSISTANCE FOR POULTRY OPERATIONS

CENTRAL GOVERNMENT SCHEMES AND SUBSIDIES

While these schemes cover various animal husbandry sectors, this summary specifically focuses on their relevance to poultry and egg-laying hens.



OBJECTIVES AND COMPONENTS

1. The Animal Husbandry Infrastructure Development Fund (AHIDF).

- The AHIDF focuses on developing infrastructure for animal feed plants, which is crucial for poultry nutrition.
- **Key Goals:**
 - Ensure availability of affordable, quality **animal feed** to poultry, promoting balanced nutrition.
- **Who Benefits:**
 - Individual Entrepreneurs
 - Private Companies
 - Farmer Producer Organizations (FPOs)
 - MSMEs (Micro, Small, and Medium Enterprises)
 - Section 8 Companies



2. National Livestock Mission (NLM).

The Budget for National Livestock Missions ("NLM") for the year 2025-26 is Rs.800 cr which is aimed at enhancing livestock productivity across various farmed animals, including poultry, goats, pigs, and sheep.

- **Key Goals:**

- Organize rural poultry farming, promote sustainable entrepreneurship, and establish market linkages.
- Promote low-cost feeding alternatives for poultry.

- **Who Benefits:**

- Entrepreneurs (with experience/expertise and bank loan sanctions)
- Self-Help Groups (SHGs)
- Farmer Producer Organizations (FPOs)
- Farmers Cooperatives Organizations (FCOs)
- Joint Liability Groups (JLGs)
- Section 8 Companies
- MSMEs

- **How it Works:**

- Development of entrepreneurship for **Parent Farms, Hatcheries, and Mother Units** for poultry.
- Focus on Low Input Technology Birds for free-range systems.
- Provides 50% capital subsidy (up to ₹25 lakh) for project costs, disbursed via SIDBI.
- **100% funding** for training on **poultry management** and scientific **poultry production**.
- Ongoing implementation includes disbursement of subsidies and establishment of **poultry infrastructure like Parent Farms and Hatcheries**.

3. Poultry Venture Capital Fund (PVCF).

The PVCF is specifically aimed at supporting the poultry and livestock sectors, promoting modernized poultry farming.

Key Goals:

- Promote poultry farming in underdeveloped areas, particularly the Northeast and backward districts.
- Encourage rural entrepreneurship and generate employment in the poultry sector.
- Upgrade existing poultry units, improve animal welfare, and implement bio-secure farming practices.
- Introduce alternative poultry species like quails, ducks, geese, and turkeys.
- Improve hygiene in poultry production and marketing.

Who Benefits:

- Individual entrepreneurs.
- Farmer Producer Organisations (FPOs).
- NGOs, cooperatives, and self-help groups.
- Private companies involved in poultry farming.
- Marginalised communities, particularly in remote and underdeveloped areas.

How it Works:

- Capital Investment Assistance: Focus on projects that improve production, processing, and marketing infrastructure for poultry ventures.
- Modernisation Efforts: Support for modern poultry equipment, housing, and automation.
- Back-ended subsidies (25%-33.33% of the project cost) reimbursed after successful implementation.
- Bank loans cover 40%-50% of the project cost.
- Budget allocations show significant focus on states with large poultry sectors.

The PVCF aligns with the National Livestock Mission's objectives to enhance food security and protein availability, and promote exports of poultry and poultry-related products.

4. Kisan Credit Card Scheme

The KCC scheme was introduced in 1998 but was extended to Animal Husbandry and Fisheries in 2019, directly benefiting poultry farmers.

- **Key Goals:**

- Provides affordable working capital and term loans for poultry rearing.
- Prioritizes small-scale, landless, and marginal farmers engaged in backyard farming.

- **Who Benefits:**

- Farmers engaged in Animal Husbandry, specifically poultry farmers.

- **How it Works:**

- In 2023-24, 70,644 KCCs were issued exclusively for poultry farmers.
- ₹28,000 crore allocated, split into ₹20,000 crore for working capital and ₹8,000 crore for term loans for allied activities, including poultry.
- Interest subsidy: An effective interest rate of 4% for loans up to ₹3 lakh.
- Collateral-free loans increased from ₹1 lakh to ₹1.6 lakh.



6. Livestock Health and Disease Control Programme

The Livestock Health and Disease Control (LH&DC) scheme and the National Animal Disease Control Programme (NADCP) were merged into the LH&DC Programme. While NADCP had a ₹13,343 Cr budget (2019 launch) and LH&DC had a ₹1470 Cr (BE)/₹886 Cr (RE) budget, operational guidelines for the merged scheme are unavailable, necessitating a two-category division for this section.

LH&DC Objectives & Components:

- **Objectives:** Nationwide vaccination (FMD, Brucellosis, >100 Cr FMD doses by 2025); strengthen veterinary infrastructure; mobile vet services; improve livestock productivity/trade.
- **Key Components:** Disease control/vaccination; Mobile Veterinary Units (MVUs) for doorstep care; Disease Surveillance & Diagnostic Support (lab strengthening, ring vaccination).

NADCP Objectives & Components:

- **Objectives:** Improve disease monitoring (serosurveillance, cold-chain, diagnostics).
- **Key Components:** Mass vaccination & health monitoring (pre-vaccination); Disease Surveillance & Diagnostic Strengthening (Ranikhet disease (ND) and Infectious Coryza serosurveillance, ELISA labs, cold-chain); Implementation & Monitoring (district/block oversight).

STATE-SPECIFIC SCHEMES AND SUBSIDIES

1. West Bengal:

The West Bengal Animal Resources Development Department actively promotes poultry-based livelihoods through initiatives like the Rural Backyard Poultry Scheme, which supports small-scale farmers. Financial aid is provided to cooperative societies for establishing poultry units, while NABARD-driven programs encourage smallholder participation, contributing to rural income generation and sustainable agricultural practices.



A. West Bengal Incentive Scheme 2017 for Commercial Layer Poultry Farm and Poultry Breeding Farms

This scheme provides financial incentives and technical support to boost rural incomes and nutritional security through commercial poultry farming.

Key Goals:

- Boost rural incomes through poultry farming.
- Enhance livelihoods of marginalized farmers.
- Increase availability of eggs and meat for nutritional security.

Who Benefits:

- Small-scale farmers and entrepreneurs interested in commercial poultry farming.
- Economically vulnerable communities in rural West Bengal.

How it Works:

- Subsidies for commercial poultry farms (₹205 crore allocated over five years).
- Free or subsidized distribution of chicks (60 lakh ducklings and chicks provided to date under broader programs).
- Provides advisory services, veterinary care, and disease prevention for poultry.
- The scheme has been extended for two additional years, from September 1, 2023.

B. Backyard Poultry Farming Programme (2024-25)

The Backyard Poultry Farming Programme is a state-level initiative implemented by the Government of West Bengal through the Directorate of Animal Resources & Animal Health. The scheme aims to promote sustainable rural poultry development by distributing chicks and ducklings to individual beneficiaries under the State Plan for the year 2024-25.

Key Goals:

- Maintain steady growth in egg production.
- Enhance nutritional security by increasing egg availability.
- Support rural women through self-employment opportunities in poultry.
- Foster sustainable rural economic growth.

Who Benefits:

- Rural households, with a special focus on women beneficiaries.
- Targeted for 10.5 lakh beneficiaries in 2024-25 (9 lakh units for chicks, 1.5 lakh units for ducklings).

How it Works:

- Distribution of 28-day-old chicks and ducklings.
- Procurement from approved state farms and registered organizations.
- Uses Mother Brooding Units (MBUs) for brooding before distribution.
- Includes regular vaccination and post-distribution monitoring for poultry.
- Subsidies cover the cost of chicks/ducklings, transportation, vaccination, and monitoring.

C. Micro Projects on Poultry & Goatery to be implemented by Self Help Group & Self Employment (SHG & SE) Department in convergence with Animal Resources Development (ARD) Department.

This project aims to create sustainable livelihoods for Self Help Groups (SHGs) through poultry farming and goat rearing.

Key Goals:

- Promote sustainable rural livelihoods through poultry projects.
- Enhance nutritional security by increasing animal protein (eggs/meat) availability.
- Empower SHG members, particularly rural women, through income-generating activities.

Who Benefits:

- Self Help Groups (SHGs) across West Bengal, with a focus on women-led SHGs.
- Targeted for 1,500 poultry units (375,000 chicks) in 2024-25.

How it Works:

- Implementation of poultry farming with 250 RIR/LIT birds per unit.
- Procurement of birds from Mother Brooding Units (MBUs).
- Provides orientation training for SHG members by the ARD Department.
- Includes regular vaccination, monitoring, and evaluation for poultry.
- Financial support: For poultry projects (₹77,750 per unit), with major contributions from the SHG & SE Department and a smaller SHG contribution.

D. West Bengal Incentive Scheme 2023 for Broiler Breeding Farms (WBIS 2023 for BBFs)

This scheme encourages entrepreneurs to establish and expand broiler breeding farms to achieve self-sufficiency in broiler chick production and generate rural employment.

Key Goals:

- Promote establishment of broiler breeding farms.
- Enhance self-sufficiency in broiler day-old chick production.
- Generate employment in rural areas.

Who Benefits:

- New farms or expansions of existing farms with at least 10,000 broiler parent poultry capacity.
- Private sector entities (individuals, partnerships, companies, trusts) or cooperative sector.
- Farms classified as Micro, Small, or Medium enterprises.

How it Works:

- Financial incentives for new farms and expansion.
- Capital grants: ₹8,00,000 per 10,000 broiler parent poultry (up to ₹80,00,000).
- Interest subsidies on term loans: 40% for Micro/Small farms, 25% for Medium farms (for five years).
- 75% waiver on electricity duty for five years (up to ₹2 lakh/year).
- Power subsidies: ₹1.50/kWh for Micro/Small, ₹1/kWh for Medium farms (for five years).
- 50% reimbursement of stamp duty and registration fees for land purchases.
- Farms must start commercial activity between September 1, 2023, and August 31, 2025.

2. Tamil Nadu:

Tamil Nadu is a significant player in India's poultry sector, boasting over 120 million poultry birds as per the 2019 Livestock Census. Committed to enhancing this vital sector, the state government has launched several key initiatives. These include the Integrated Poultry Development Scheme offering a 50% subsidy for rural women in backyard poultry, pilot programs for cage-free systems to improve animal welfare, and a substantial ₹22 crore investment in poultry clusters in underdeveloped regions with a 25% front-ended subsidy for small farmers.

Over the past decade, Tamil Nadu has steadily bolstered its poultry infrastructure and support. Key milestones include the launch of a Poultry Development Scheme in 2012-13, the statewide expansion of the Rural Backyard Poultry Scheme in 2013-14, and the establishment of a Livestock and Poultry Feed Technology Centre in 2018-19. More recently, a Native Poultry Breeding Farm and Hatchery Unit opened in 2021-22. The state also conducts extensive special camps in rural areas, providing health services and scientific management awareness to millions of livestock and poultry, underscoring its dedication to a robust and sustainable poultry industry.



A. Scheme for Establishing Small-Scale Native Chicken Farm Units (250 birds/unit) in Rural Areas

This initiative promotes rural livelihoods by supporting small-scale native chicken farming.

Key Goals:

- Promote sustainability and rural economic growth through poultry farming.
- Enhance livelihoods for the rural poor and marginalized communities.
- Ensure access to nutritious eggs and meat.

Who Benefits:

- Rural entrepreneurs willing to co-fund 50% of unit costs.
- Targeted 100 units across 10 districts in 2022-23, expanded to 26 districts in 2023-24 (excluding Chennai and Nilgiris).

How it Works:

- Total cost (2022-23): ₹180 lakh.
- Subsidy: 50% (₹1,50,625 per unit) from the Tamil Nadu Government.
- Beneficiaries contribute 50% (personal funds or bank loans).
- Free provision of 250 four-week-old native chicks from the District Livestock Farm, Hosur.
- Financial support for constructing poultry sheds, feed trays, watering trays, and feed costs (up to grower stage).
- Access to veterinary care and advisory services.
- Potential annual income of ₹2.31 lakh per unit from eggs, chicks, spent hens, and cocks.

B. Activities under National Livestock Mission (NLM): Entrepreneurial Development Programme

The NLM in Tamil Nadu promotes rural entrepreneurship and sustainable poultry operations.

Key Goals:

- Promote entrepreneurship in rural poultry farming for breed development and economic upliftment.

Who Benefits:

- Entrepreneurs establishing Rural Poultry Farms with Rural Hatcheries.

How it Works:

- Subsidy: 50% of the capital expenditure or a maximum of ₹25.00 lakh for a Rural Poultry Farm with 1100 birds and a hatchery.

C. Native Chicken Breeding Complex and Hatchery Units (Tirunelveli)

This initiative enhances poultry farming by providing high-quality native chicks through a breeding complex and hatchery unit.

Key Goals:

- Ensure the availability of quality native chicken to farmers in Southern Tamil Nadu.
- Promote large-scale distribution of native chicks to support sustainable poultry farming.

Who Benefits:

- Farmers in Southern Tamil Nadu.
- Encourages entrepreneurship by providing reliable access to chicks.

How it Works:

- Total Cost: ₹942.31 lakh, funded under the National Agricultural Development Program (NADP) (60:40 Union:State contribution).
- Production Capacity: Weekly production of 10,000 chicks, totaling 5 lakh chicks annually.

D. Native Chicken Breeding Complex, Hatchery, and Feed Mill Unit (Sivagangai)

This initiative supports poultry farming by providing high-quality native chicks and reliable feed, boosting productivity and reducing input costs.

Key Goals:

- Supply pure germ plasm native chicks to farmers in Eastern Tamil Nadu.
- Establish infrastructure for large-scale poultry farming, including feed production.

Who Benefits:

- Farmers in Eastern Tamil Nadu.

How it Works:

- Total Cost: ₹1381.92 lakh, funded entirely by the Tamil Nadu Government.
- Feed Mill Production: Capacity to produce 2000 tonnes of feed annually.
- Chick Production: Yearly output of 4 lakh native chicks for distribution.

E. Primary Cooperative Agriculture and Rural Development Bank Loans

This scheme provides targeted credit access for small-scale poultry farmers.

Key Goals:

- Facilitate access to credit for small-scale poultry farmers.

Who Benefits:

- Small and marginal farmers involved in poultry rearing.

How it Works:

- Maximum Loan: ₹14,800 for 200 birds.
- Purpose: Infrastructure development for small poultry units.
- Interest Rate: 14.5% – 16.5%.
- Loans disbursed through the Primary Cooperative Agriculture and Rural Development Bank.

F. Activities under National Livestock Mission (NLM): TANUVAS Initiative

Tamil Nadu Veterinary and Animal Sciences University (TANUVAS) contributes to sustainable poultry development through research, workshops, and education.

Key Activities:

- Organizes workshops for poultry farmers and stakeholders.
- Conducts experimental trials using broilers and layers in environmentally controlled sheds.
- Ongoing research projects include "Broiler and Layer Production" and "Establishment of Resource Centre for Indigenous Siruvidai Chicken of Tamil Nadu."

Who Benefits:

- Poultry Farmers, stakeholders, and associates gaining knowledge on sustainable practices.
- B.V.Sc students receiving experiential learning in broiler and layer production.
- Research community working on indigenous poultry breeds.

G. Primary Cooperative Agriculture and Rural Development Bank Loans

This scheme provides targeted credit access for small-scale poultry farmers.

Key Goals:

- Facilitate access to credit for small-scale poultry farmers.

Who Benefits:

- Small and marginal farmers involved in poultry rearing.

How it Works:

- Maximum Loan: ₹14,800 for 200 birds.
- Purpose: Infrastructure development for small poultry units.
- Interest Rate: 14.5% – 16.5%.
- Loans disbursed through the Primary Cooperative Agriculture and Rural Development Bank.

H. Poultry Development Scheme

This scheme empowers rural households by promoting backyard poultry rearing with dual-purpose breeds for meat and egg production.

Key Goals:

- Empower rural households by promoting backyard poultry farming.

Who Benefits:

- Rural households, marginal farmers, and members of Self-Help Groups (SHGs).

How it Works:

- Distribution of dual-purpose poultry, turkey poults, and 18-week-old layer pullets.
- Training sessions on poultry rearing and disease management.
- Financial assistance for setting up infrastructure and acquiring birds.

I. Institute of Poultry Production and Management (IPPM)

The IPPM offers technical education and training in poultry farming, including hatchery and farm management.

Key Goals:

- Provide technical education and training in modern poultry farming.

Who Benefits:

- Individuals seeking careers in poultry farm management.
- Rural communities seeking self-employment opportunities.
- Farmers seeking advisory services and elite poultry germplasm.

How it Works:

- Training Programs: Hatchery Manager, Poultry Farm Supervisor, Poultry Breeder Farm Supervisor, Poultry Farm Vaccinator.
- Managed by Tamil Nadu Veterinary and Animal Sciences University (TANUVAS).
- Provides placement assistance and support in establishing poultry farms.

J. State Poultry Development Scheme (TN-SPDS)

This program promotes native poultry farming and advanced techniques for enhanced productivity.

Key Goals:

- Promote indigenous poultry farming practices.
- Provide education on advanced poultry farming techniques.

Who Benefits:

- Farmers interested in native poultry farming techniques.

How it Works:

- Training at Veterinary University Training and Research Centres.
- Focus on native chicken breeds to boost productivity and profitability.
- Technical support for farm establishment and maintenance.

K. Subsidy Scheme for Small-Scale Poultry Farming Units

This scheme provides a 50% subsidy to farmers for establishing poultry units with 250 birds.

Key Goals:

- Encourage entrepreneurship in poultry farming.

Who Benefits:

- Small-scale entrepreneurs and farmers transitioning to poultry farming.

How it Works:

- Subsidy Amount: 50% of the project cost.
- Requires prior experience in poultry farming or related fields.
- Progress monitored by state officials.

3. Andhra Pradesh:

Andhra Pradesh is ranked #1 in India in terms of egg production, contributing approximately 20.8% of the national output. With its established dominance in egg production, the state already has the infrastructure and scale to support a transition to cage-free egg farming.



A. Andhra Pradesh Drought Adaptation Initiative (APDAI)

The APDAI was a pilot project (2006–2010) focused on enhancing drought-adaptation capacity, including support for the livestock sector.

Key Goals:

- Diversify income sources and improve food security for vulnerable households.

Who Benefits:

- Small and marginal farmers in drought-prone regions of Andhra Pradesh engaged in poultry farming.
- Special focus on marginalized communities (SC/ST).

How it Works:

- The Backyard Poultry Component provided training and support to women to raise backyard poultry.
- Financial support (subsidies and interest-free loans) for various interventions, including livestock development.

B. NABARD-Andhra Pradesh Poultry Development Policy

NABARD and the Andhra Pradesh government collaborate to promote poultry development with a focus on commercial operations and value addition.

Key Goals:

- Enhance production from commercial broilers and layers.
- Encourage processing of eggs & chicken for value addition and export.
- Make Andhra Pradesh the highest egg and poultry meat producing state sustainably.

Who Benefits:

- Farmers, individual entrepreneurs, companies, cooperatives, Self-Help Groups (SHGs), and Joint Liability Groups (JLGs) involved in poultry.
- Priority for small-scale and marginalized farmers or entrepreneurs.

How it Works:

- Subsidies are channeled through banks eligible for NABARD refinancing.
- Egg Processing Plant: Interest subsidy on term loans for fixed capital investment (limited to ₹2 crore).
- Egg Processing Centres (EPCs) and Egg Collection Centres (ECCs): Interest subsidy on term loans (limited to ₹1 crore).
- Setting up of poultry farms: Interest subsidy on capital investment and working capital loans, covering interest above 7%.

C. Poultry Loans under Andhra Pradesh Grameena Vikas Bank (APGVB) - sponsored by SBI APGVB offers specific loans to support farmers and entrepreneurs in the poultry sector.

Key Goals:

- Encourage individuals to take up poultry farming as a sustainable livelihood.
- Provide financial support for expansion and modernization of existing poultry farms.
- Promote value addition activities like processing and packaging of poultry products.

Who Benefits:

- Individual Farmers: Small and marginal farmers starting or expanding poultry farming.
- Farmer Producer Organizations (FPOs): Groups undertaking collective poultry farming.
- Self-Help Groups (SHGs): Groups engaged in poultry farming.

How it Works:

- Term Loan: For long-term capital expenditure (shed construction, equipment, infrastructure, etc.).
- Working Capital Loan: For short-term needs (feed, chicks, medicines, etc.).
- Loans available at APGVB branches with an interest rate of 11.00%.

D. Axis Bank Foundation's Sustainable Livelihoods Programme - Andhra Pradesh & Telangana Backyard Poultry

This initiative enhances backyard poultry production in participating households, providing a low-cost intervention that requires minimal infrastructure. It aims to improve nutritional security for families and serve as a source of income, with high returns and easy management.

Key Goals:

- Significantly increase poultry production per household.
- Improve the economic conditions of rural poor and tribal households on a sustainable basis.
- Enhance the baseline annual income of targeted participant families by at least 50%

Who Benefits:

- Households participating in the program (currently 496 households across Telangana and Andhra Pradesh, specifically in Narayanpet district, Telangana, and Srikakulam district, Andhra Pradesh).
- Marginalised communities, including tribal groups and landless families, who are highly vulnerable to climate change and other economic challenges.
- Women self-help groups (SHGs)

How it Works:

- Provides night shelters for poultry.
- Average number of birds per household increased from 5-6 to 20-30.

4. Telangana:

Telangana, ranked 3rd in egg production in India, contributes around 13.3% of the country's total eggs. With a high concentration of poultry farms, the state holds significant market potential for introducing cage-free practices to meet both domestic and international demand. South India, particularly Telangana, leads in egg consumption, with the state having the highest per capita egg consumption in the country.



A. Telangana State - Food Processing and Preservation Policy (T-FAPP) 2021

Focus: Attracting investment and promoting value addition in the food processing sector, specifically including integrated poultry production facilities and poultry processing units.

Key Objectives: Create dedicated food processing zones with facilities for poultry, improve food safety and quality standards, enhance competitiveness, and generate employment.

Beneficiaries:

- Poultry Entrepreneurs & Businesses: Individuals and companies (including MSMEs) interested in setting up or expanding poultry processing units, egg grading/packing centers, and integrated poultry production facilities.
- Farmers: Poultry farmers whose produce will undergo value addition.

Key Feature: Offers financial incentives (subsidies), concessional land allocation, infrastructure development, and simplified procedures to facilitate investment in poultry-related food processing.

B. Subsidy for Setting up BV-380 Egg Poultry Unit (Ongoing)

Focus: Directly supporting the establishment of BV-380 egg poultry units, a specific high-yielding layer breed.

Key Objectives: Significantly boost rural egg production and create self-employment opportunities for unemployed youth and small-scale farmers, particularly those from economically disadvantaged backgrounds.

Beneficiaries:

- **Unemployed Youth & Small Farmers:** Especially those from Below Poverty Line (BPL) households.
- **SC/ST Beneficiaries:** Receive full subsidy coverage for the unit cost.

Key Feature: Provides substantial financial assistance (up to 50% for General Category, 100% for SC/ST) on the unit cost of ₹52,000 for setting up BV-380 layer units.

C. Telangana State Cooperative Apex Bank Ltd. (Apex Bank), Hyderabad

Focus: Providing long-term (investment) credit for agricultural activities, explicitly including Poultry, through its network of District Cooperative Central Banks (DCCBs) and Primary Agricultural Credit Societies (PACS).

Key Objectives: Support asset creation for poultry farmers, increase their income generation capacity, and accelerate rural development through access to investment credit.

Beneficiaries:

- **Poultry Farmers:** Individual farmers seeking loans for setting up new poultry farms, expanding existing laying hen or broiler units, purchasing equipment, or other poultry-related infrastructure development.
- **Rural Cooperatives:** Through which credit services are channeled to farmers.

Key Feature: Provides crucial financial support for capital investments in poultry farming, facilitating growth and modernization of units.

5. Karnataka

Karnataka ranks 6th in poultry population in India, with Bangalore consuming twice the national average of eggs—approximately 200 eggs per person annually. The state's poultry industry reflects both traditional practices and increasing urban demand.

The Pashu Bhagya Scheme was introduced in 2014-15 to further boost livestock and poultry development. The program provided a back-ended subsidy of 33% for Scheduled Caste and Scheduled Tribe farmers and 25% for small and marginal farmers. Farmers could avail loans of up to ₹1.20 lakh through commercial banks to establish livestock, poultry, or other animal husbandry units.

A. Budget 2024: Women Empowerment Through Livelihood Support

Focus: Prioritizing empowering women Self-Help Groups (SHGs) through livelihood initiatives that specifically include poultry rearing.

Key Objectives: Enhance rural incomes and economic stability for women by supporting their participation in poultry farming and ensuring marketing linkages.

Beneficiaries:

- **Women Self-Help Groups (SHGs):** Targeting one lakh SHGs across Karnataka for livelihood support.

Key Feature: Allocates ₹100 crore to support activities like poultry, along with marketing support to ensure fair returns.

BANK LOANS

Many Indian banks provide low-interest, low-margin loans to dairy owners. These include:

State Bank of India (SBI): offers various poultry loan options aimed at supporting farmers in the poultry sector., such as MUDRA Loan under PMMY (Allied Agri), Broiler Plus Scheme, Poultry Development Loans and Allied Activities Loans .

Punjab National Bank (PNB): offers a comprehensive Poultry Farming Loan Scheme designed to support both small and large-scale poultry farmers .

Federal Bank: offers a variety of poultry loans designed to support individuals and businesses involved in poultry farming. They are Poultry Farm Loan, Animal Husbandry Loan, Federal Kisan Credit Card Scheme and Federal Green Plus Loan scheme.

Bank of India (BOI): offers Poultry Development Scheme provides collateral-free loans up to ₹2 lakhs, aimed at financing the establishment or expansion of poultry farms, hatcheries, and production units.



Canara Bank: offers Canara Bank Poultry & Duck Rearing Loans: This loan is designed for establishing or improving layer and broiler farms, including hatcheries. In addition, Kisan Credit Card (KCC) for Animal Husbandry can be used for poultry loans too.

Bank of Baroda: offers Term Loan for Poultry Development: This loan is aimed at financing the establishment of poultry units, including the construction of poultry sheds and the purchase of necessary equipment and machinery. In addition to term loans, Bank of Baroda provides cash credit facilities to meet working capital requirements for poultry farming. Kisan Credit Card (KCC) for Animal Husbandry and Animal Husbandry Infrastructure Development Fund (AHIDF) are also available for poultry loans.

Ujjivan Small Finance Bank: offers specialized poultry loans under its Kisan Pragati Card (KPC) scheme, designed to support poultry farmers in meeting their working capital needs.

HDFC Bank: offers credit support for all aspects of poultry farming, including broiler farming, layer farming, and hatchery operations. Financial assistance is provided for the construction of poultry sheds, procurement of chicks, and purchase of poultry equipment. Working capital needs are met through cash credit, while term loans are available for infrastructure development and acquisition of chicks and equipment.

INTERNATIONAL AGENCIES

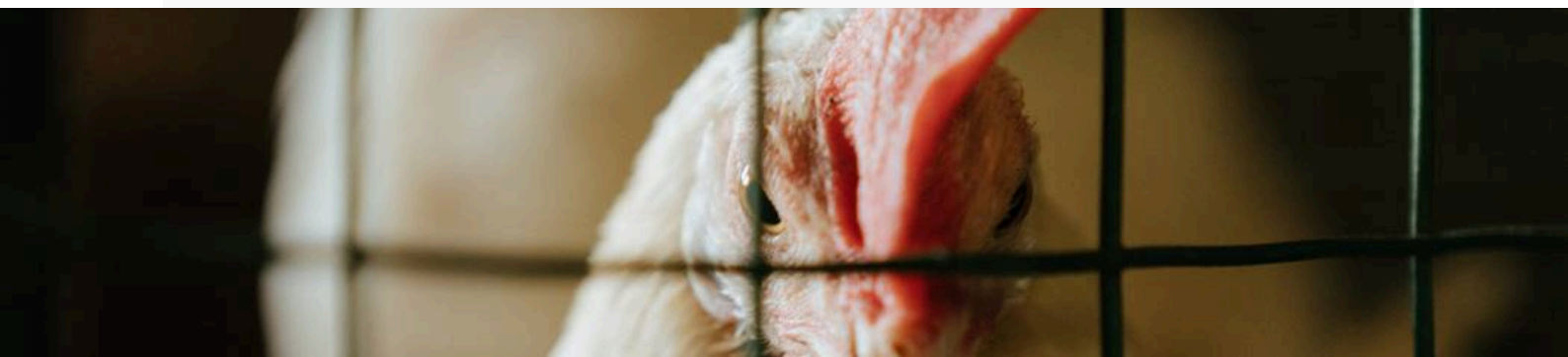
Various international organizations play a crucial role in shaping and supporting the poultry sector worldwide, often with a focus on smallholder farmers and sustainable practices.

1. Food and Agriculture Organization (FAO)

Role: The FAO leads efforts to improve global food security, including through sustainable agriculture and rural development. They are highly active in supporting smallholder poultry farming projects.

Key Objectives: Increase productivity and income for small-scale poultry farmers, enhance rural livelihoods, and improve household food security.

1. **Activities:** Provides initial capital for housing, equipment, birds (including layers), feed, and health services. Collaborates with local governmental organizations and NGOs.
2. **Beneficiaries:**
3. **Smallholder Farmers:** Rural families, particularly women farmers who play a significant role in poultry production and household nutrition.
4. **Youth:** Seeking employment in the agricultural sector.
Example: Supported projects in Bangladesh and India, like the International Fund for Agricultural Development (IFAD) assisted Tamil Nadu Women's Development Project.



2. Asian Development Bank (ADB)

The ADB is a major development bank in Asia, with several initiatives specifically targeting the poultry sector.

ADB - Suguna Partnership ("Sustaining Poultry Farmer Income and Food Security Project")

Role: Provides direct liquidity support to Suguna Foods Private Limited in India, a major poultry company.

Key Objectives: Help Suguna sustain operations and livelihoods of its contract poultry farmers and employees, especially during crises, and ensure continued production and distribution of poultry products to reduce malnutrition.

Activities: Offers \$15 million in financing for working capital and operational expenditures, including maintaining higher inventory levels of feed and medicines.

Beneficiaries:

- 40,000 Contract Poultry Farmers associated with Suguna Foods Private Limited.
- 7,700+ Employees of Suguna Foods.
- Consumers of poultry products.

3. World Bank's International Finance Corporation (IFC)

Role: The private sector arm of the World Bank Group, investing in private companies in developing countries, including significant investments in the poultry production sector.

Key Objectives: Stimulate job growth, alleviate poverty, and meet rising meat and dairy demands in developing regions. (Note: This investment strategy has faced criticism regarding environmental and health impacts.)

Activities: Has invested over \$353 million specifically in global poultry production since 2010, largely supporting large multinational corporations.

Beneficiaries:

- **Large Multinational Poultry Corporations:** And their associated supply chains in developing countries.
- **Consumers:** Of poultry products in these regions.

Miscellaneous International Support for Family/Backyard Poultry:

International efforts for **family poultry development** (often focused on layers for eggs and income) highlight key opportunities and challenges:

- **DANIDA, Bill & Melinda Gates Foundation, CIDA, DfID, AusAID:** Various agencies have supported family poultry research and broader livestock development projects in Africa and Asia.
- **Note on World Bank's Latest Stance:** Recent World Bank reports suggest that wealthy nations should consider reducing financial support for emissions-intensive livestock farming and reallocate subsidies towards lower-emission alternatives like **poultry**, fruits, and vegetables, emphasizing the long-term benefits of this transition for public health and environmental sustainability. This indicates a potential shift in focus towards more sustainable and lower-emission animal agriculture, with poultry being a favorable alternative. The report highlights that annual investments must increase eighteenfold to \$260 billion to halve agri-food emissions by 2030 and achieve net-zero targets by 2050. The authors assert that while this transition may raise meat prices by 20% to 60%, the long-term benefits—including improved public health and environmental sustainability—far outweigh the costs.

EVALUATION OF SCHEMES AND SUBSIDIES AGAINST ANIMAL WELFARE AND SUSTAINABILITY CRITERIA

Intensive animal agriculture, while offering short-term gains, severely compromises animal welfare, public health, and environmental sustainability. Confining animals in such systems leads to stress, disease, and increased antibiotic use. Higher welfare standards, like cage-free systems, improve animal health by allowing natural behaviors and contribute to sustainability through energy- efficient designs and better waste management.

The livestock sector, especially industrialized poultry farming, is a major contributor to environmental degradation, including land and water pollution, climate change, and biodiversity loss. Poultry manure runoff, for instance, causes harmful algal blooms.

In India, the legal framework is evolving to address these concerns. The Prevention of Cruelty to Animals (PCA) Act, 1960, prohibits cruel confinement, and the PCA (Egg Laying Hens) Rules, 2023, mandate minimum space and housing upgrades by 2030. The Environmental Protection Act, 1986, further emphasizes pollution reduction. These regulations, along with alignment with UN Sustainable Development Goals (SDG 12), collectively promote the transition to humane and sustainable cage-free poultry practices, mitigating both animal welfare issues and environmental damage.



Key Evaluation Parameters:

Evaluating schemes and subsidies for animal welfare and environmental sustainability requires a comprehensive analysis of the following key parameters:

1. Animal Welfare Standards: Adequate housing, feeding, and healthcare practices are crucial for ensuring humane treatment in poultry farming. Schemes must prioritize cage-free systems that allow for natural behaviors such as foraging and nesting. Welfare standards should also include access to veterinary care, enriched environments, and proper handling techniques to minimize stress and physical harm.

2. Environmental Impact: The environmental sustainability of poultry schemes hinges on efficient resource utilization and effective waste management. Programs should address the reduction of greenhouse gas emissions, promote the use of renewable energy, and encourage sustainable feed production. For example, composting manure and employing water conservation techniques can significantly lower the ecological footprint of poultry units.

3. Economic Feasibility: Financial accessibility is essential for small-scale and marginalized communities to adopt sustainable practices. Schemes need to provide sufficient subsidies, low-interest loans, or grants to reduce the financial burden associated with transitioning to environmentally friendly and welfare-oriented systems. This ensures inclusivity and widespread adoption.

4. Regulatory Compliance: Alignment with national and international legal frameworks is necessary to maintain consistency in welfare and sustainability standards. Adherence to laws like the Prevention of Cruelty to Animals (PCA) Act, 1960 and the Environment Protection Act, 1986 ensures accountability. Additionally, international certifications like Global Animal Partnership (GAP) or compliance with European Union standards can enhance market access.

5. Innovation and Research: Advancing technologies and innovative methodologies should be integrated into schemes to improve welfare and environmental performance. Research initiatives focusing on alternative feed sources, energy-efficient housing, and waste-to-energy solutions can drive sustainable advancements in the poultry sector.

6. Monitoring Mechanisms: Robust monitoring frameworks are critical for ensuring adherence to welfare and sustainability standards. Real-time tracking, periodic audits, and transparent reporting systems can help evaluate the effectiveness of schemes and identify areas for improvement.

Scheme and Subsidy Evaluation:

Table 4. Central Government Schemes and Subsidies Evaluation

Scheme	Alignment with Welfare	Alignment with Sustainability	Key Parameters
Animal Husbandry Infrastructure Development Fund (AHIDF)	Strengths: Financial support for infrastructure can indirectly improve animal husbandry conditions. Gaps: No explicit focus on cage-free systems or humane treatment.	Strengths: Supports modernization of infrastructure. Gaps: Minimal focus on renewable energy or sustainable waste management systems.	Economic Feasibility: Loans up to 90% of the project cost ensure inclusivity. Innovation and Research: Limited focus on welfare technologies. Monitoring: Project-specific oversight.
National Livestock Mission (NLM)	Strengths: Promotes free-range systems and humane livestock practices. Gaps: Lacks enforcement of welfare standards.	Strengths: Supports sustainable feed and fodder. Gaps: No focus on renewable energy or comprehensive environmental strategies.	Economic Feasibility: 50% subsidy makes it accessible to small farmers. Innovation and Research: Focuses on training, with limited R&D. Monitoring: Variable state-level oversight.
Poultry Venture Capital Fund (PVCF)	Strengths: Modernization may improve welfare indirectly. Gaps: Welfare standards not mandated.	Strengths: Encourages biosecurity and hygiene. Gaps: Lacks sustainability focus, including renewable energy adoption.	Economic Feasibility: Subsidies up to 33.33% for marginalized farmers. Innovation and Research: Negligible welfare-oriented innovation. Monitoring: Limited and project-specific.
Kisan Credit Card (KCC) Scheme	Strengths: Financial assistance can enable better systems indirectly. Gaps: No explicit focus on welfare improvements.	Strengths: Credit can potentially support sustainable practices. Gaps: No specific focus on environmental or renewable measures.	Economic Feasibility: Accessible credit for diverse needs. Innovation and Research: No direct support for innovation. Monitoring: Standard financial oversight.

STATE SPECIFIC SCHEME EVALUATION

1. Overall Evaluation for West Bengal

Alignment with Welfare:

The scheme supports backyard poultry farming and veterinary care, which indirectly improve welfare. However, it does not address humane practices or cage-free systems in commercial operations.

Alignment with Sustainability:

While it encourages diversified and sustainable livelihoods, the scheme does not focus on waste management or emphasize the energy efficiency and reduced pollution inherent in cage-free systems.

Economic Feasibility and Monitoring:

With ₹205 crore allocated over five years, the scheme is well-funded. However, innovation in welfare or sustainability is limited, and monitoring focuses more on project implementation than long-term welfare evaluation.

2. Overall Evaluation for Telangana

Alignment with Welfare:

Telangana's schemes emphasize backyard poultry farming, native breeds, and financial support, making them compatible with cage-free practices. However, welfare conditions are not mandated as criteria for being eligible for these incentives.

Alignment with Sustainability:

The focus on natural farming and small-scale operations aligns with the energy efficiency and disease control benefits of cage-free systems. However, broader integration of cage-free advantages, such as reduced environmental impact, is not emphasized.

Economic Feasibility and Monitoring:

The schemes provide financial incentives, subsidies, and property tax relief, making them accessible to small-scale farmers and SHGs.

3. Overall Evaluation for Tamil Nadu

Alignment with Welfare:

The schemes support backyard farming which align well with cage-free systems. While they do not mandate cage-free setups, their focus on native breeds and small-scale farming makes them applicable for promoting cage-free operations. However, the schemes do not address transitioning larger commercial setups to more humane facilities and enforcing welfare standards.

Alignment with Sustainability:

These initiatives emphasize low-input farming and local breed preservation, which complement the energy efficiency and reduced pollution in cage-free systems. However, these schemes do not address manure management or water pollution comprehensively.

Economic Feasibility and Monitoring:

Generous subsidies, training programs, and financial assistance make these schemes accessible to small and marginalized farmers, providing a pathway to adopt cage-free systems.

4. Overall Evaluation for Karnataka

Alignment with Welfare:

Karnataka's schemes emphasize backyard poultry, training, and health programs, aligning well with the welfare benefits of cage-free systems. However, there is little focus on welfare standards in commercial operations or enforcement of humane practices.

Alignment with Sustainability:

The focus on small-scale farming and disease prevention supports the lower environmental impact of cage-free systems. However, these schemes do not cover provisions for addressing environmental impacts or integrating sustainable practices into program scaling.

Economic Feasibility and Monitoring:

Strong financial support, subsidies, and training programs make these initiatives accessible to small-scale farmers and marginalized groups.

5. Overall Evaluation for Andhra Pradesh

Alignment with Welfare:

The schemes strongly support backyard poultry and natural farming practices, which align well with cage-free systems. Training programs and financial assistance for small-scale farmers provide a pathway to promote welfare-friendly farming. However, there are no explicit minimum requirements for welfare standards in such funded operations.

Alignment with Sustainability:

The focus on low-input farming and natural forage systems complements the inherent sustainability of cage-free poultry, such as reduced disease risk and lower environmental impact. However, these schemes do not address manure management or water pollution comprehensively and do not explicitly address sustainability measures like energy efficiency.

Economic Feasibility and Monitoring:

Generous subsidies, interest-free loans, and targeted financial support make these schemes accessible for small and tribal farmers, offering a strong base for adopting cage-free systems.

CONCLUSION

The analysis of welfare and sustainability gaps across existing schemes and subsidies reveals systemic shortcomings in integrating humane and environmentally conscious practices within poultry farming in India. While several schemes at the central and state levels aim to support infrastructure development and improve productivity, critical gaps persist that hinder the transition to sustainable and humane farming systems.

Welfare Gaps:

1. Indifference Toward Housing Systems: Existing policies and subsidies rarely specify or prioritize humane housing systems. This indifference allows caged systems, which severely restrict natural behaviors and cause significant physical and psychological distress, to dominate by default. The lack of explicit incentives or requirements for cage-free alternatives limits progress toward better welfare outcomes.

2. Limited Focus on Humane Practices: Financial and technical support for humane practices is minimal. Cage-free systems, which offer better welfare standards by enabling natural behaviors, receive little to no targeted encouragement or funding.

3. Inadequate Training and Monitoring: Capacity-building programs for farmers do not adequately address the management of humane housing systems, and monitoring mechanisms for welfare compliance remain weak or nonexistent.

Sustainability Gaps

1. **Environmental Impact of Conventional Systems:** Poultry farms, particularly caged facilities, contribute significantly to environmental degradation, including gaseous emissions (ammonia, methane, nitrous oxide), concentrated manure buildup, and water pollution from nitrate runoff. Most schemes fail to enforce environmental safeguards or promote sustainable practices.
2. **Neglect of Waste and Water Management:** Poorly managed waste and inadequate water runoff controls in conventional farms lead to severe environmental issues. Policies rarely incorporate solutions such as composting, waste-to-resource conversion, or wastewater treatment.

PROMOTION

Observations

- **Missed Opportunities for Integration:** While central and state-level schemes focus on productivity and economic goals, they lack specific criteria addressing housing systems' welfare and environmental impacts.
- **Disproportionate Resource Allocation:** Funding often supports general infrastructure and operational upgrades without targeted support for transitioning to sustainable and humane practices.
- **Emerging Consumer Demands:** With increasing consumer awareness of ethical products, there is a growing market for cage-free and sustainable poultry products. However, this potential remains underleveraged in existing policies.



RECOMMENDATIONS



1. Advocating for Welfare and Sustainability Criteria

To ensure a humane and sustainable egg industry, government schemes and subsidies should include criteria that promote animal welfare and environmental sustainability. These criteria should align with globally recognized standards, such as the Five Freedoms of animal welfare, which include freedom from hunger and thirst, discomfort, pain, injury, or disease, fear and distress, and freedom to express normal behavior.

This alignment would not only improve the living conditions of layer hens but also meet growing consumer demand for ethically produced eggs, as evidenced by a global shift in preferences toward cage-free systems.

2.The criteria for eligibility should:

- 1.Require adherence to cage-free housing systems, which provide hens with adequate space, access to enrichment materials, and opportunities to express natural behaviors.
- 2.Encourage sustainable practices, such as eco-friendly waste management and reduced water pollution, as recommended by the CSIR-NEERI report.
- 3.Provide financial incentives to farmers transitioning to cage-free systems, including subsidies for infrastructure modifications and training.

Excluding Detrimental Practices

Government subsidies and schemes should explicitly exclude battery cage systems, which have been widely criticized for causing physical and psychological suffering to hens. International precedents, such as the EU's ban on battery cages, demonstrate the feasibility and ethical imperative of phasing out such systems.

The exclusion criteria should:

- Prohibit subsidies for farms using battery cages.
- Penalize practices that limit natural behavior, such as excessive crowding and inappropriate flooring.
- Encourage compliance through monitoring and support programs, ensuring that small-scale farmers are not disproportionately affected.

Potential Impact of Recommendations:

1. Economic Benefits:

- **Increased Market Access:** Incorporating welfare criteria opens access to global markets demanding cage-free eggs, especially as WTO negotiations focus on animal welfare.
- **Support for Small-Scale Farmers:** Cage-free systems have lower per-bird costs, fostering entrepreneurship and creating jobs in rural communities.
- **Countering Monopolistic Practices:** Promoting cage-free systems diversifies the market, enhancing competition and fair pricing for consumers.

2. Welfare Benefits:

- Cage-free systems improve hen welfare by providing better living conditions, leading to lower stress, injury, and disease rates.

3. Environmental Benefits:

- Cage-free farms produce less waste, lower greenhouse gas emissions, and reduce water pollution, supporting sustainable development goals.

4. Alignment with Consumer and Policy Trends:

The criteria reflect a global shift towards ethical consumption, supported by public initiatives like the European Citizens' Initiative for phasing out cages.

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We are prepared to assist in structuring financial incentives to ensure sustainable growth and positive impact on animal welfare and the environment within India's poultry sector.



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